

Core Molding Technologies

Investment memorandum | Buyout economics and ESOP financing capacity
October 1, 2026 | Five-year model | USD millions unless stated

Investment conclusion

I would not advance the modeled acquisition at 6.0x entry EBITDA without a lower price and committed follow-on capital. Base-case gross equity returns are 14.8% with senior debt and sponsor equity, and 16.8% when a seller note replaces part of the initial equity. Both fall below the assumed 20% hurdle. Seller financing improves the percentage return, but increases the downside loss and leaves a larger payment due at exit.

Company evidence

FY 2025 revenue was \$273.80m and company-adjusted EBITDA was \$30.71m. Operating cash flow of \$19.19m less \$17.27m of capital expenditure left \$1.92m of free cash flow. For the twelve months through June 2026, the same calculation produces **negative \$8.30m free cash flow despite \$28.97m adjusted EBITDA**. The debt case therefore depends on cash conversion and expansion spending, not EBITDA alone. [S1-S3]

Base-case acquisition and investor returns

Metric	Senior debt + equity	With seller financing
Entry enterprise value	\$173.83m	\$173.83m
Initial senior loan	\$72.43m	\$72.43m
Initial seller note	None	\$28.97m
Initial sponsor equity	\$117.96m	\$88.99m
Follow-on equity required	\$13.68m	\$14.54m
Projected exit equity proceeds	\$259.60m	\$220.23m
Gross XIRR / equity MOIC	14.8% / 1.97x	16.8% / 2.13x

Transaction assumptions

Entry and exit are both 6.0x adjusted EBITDA. Senior financing is 2.5x entry EBITDA, with 8% cash interest and 5% annual original-principal amortization. The seller-financed structure adds a 1.0x note with 4% cash interest and 4% payment-in-kind interest. Both retain \$12m operating cash. Transaction fees, financing fees and exit costs are included.

These are hypothetical acquisition terms applied to published financials. No actual Core Molding deal, lending offer or current share-price premium is represented. Returns are investment-level projections before fund fees, carry and investor taxes.

Return drivers and downside

Operating cases change growth, margin, capital spending, working capital and launch costs. The 6.0x entry and exit multiples remain constant across these cases.

Operating case	Senior debt + equity XIRR / MOIC	With seller financing XIRR / MOIC
Downside	-2.9% / 0.87x	-6.0% / 0.75x
Base	14.8% / 1.97x	16.8% / 2.13x
Upside	20.5% / 2.50x	23.4% / 2.80x

What drives the base case

The forecast separates production from tooling because tooling revenue depends on customer acceptance and should not be treated as a steady recurring revenue stream. Production growth starts at 8%, rises to 10%, then slows. Modeled adjusted EBITDA margin expands from 11.5% to 13.0%. [S2 for tooling context; growth and margins are model assumptions.]

Base-case driver	Year 1	Year 3	Year 5
Total revenue	\$271.14m	\$312.42m	\$342.36m
Adjusted EBITDA margin	11.5%	12.5%	13.0%
Capital expenditure	\$26.00m	\$13.00m	\$14.00m
Operating NWC / revenue	14.5%	13.5%	13.5%

Capital spending stays elevated in year one before moderating. The company reported \$12.08m first-half 2026 capex and \$25m-\$30m full-year guidance, including the Mexico expansion. The case uses a different September year-end and does not treat that guidance as a five-year company forecast. [S2]

Why the seller note matters

The note reduces initial sponsor equity by \$28.97m, but its balance grows to **\$35.25m** by exit. It also slows senior debt repayment through cash interest. Base-case exit proceeds are \$39.37m lower for equity holders. In the downside case, the seller-financed structure returns only 0.75x invested equity, versus 0.87x without the note.

Price discipline

Keeping base-case operations, debt amounts and the 6.0x exit unchanged, the model implies entry EV ceilings of **\$149.23m (5.15x)** for the senior-debt-plus-equity case and **\$161.43m (5.57x)** with seller financing to reach the 20% hurdle. These are conditional price limits, not independent appraisals.

Before advancing, I would test customer program launch timing, tooling collections, the remaining expansion budget and the quality of EBITDA adjustments. The first-year cash deficit needs committed funding even when the five-year return is attractive.

ESOP financing and model scope

Separate financing-capacity screen | No sponsor equity or employee-return assumption

An employee-ownership structure cannot simply reuse the sponsor equity return. In this screen, a seller note replaces all outside sponsor equity. That changes the debt burden and makes the funding shortfall more pronounced.

Illustrative ESOP financing requirement	Base case
Senior loan	\$72.43m
Required seller financing	\$117.96m
Total new debt / LTM adjusted EBITDA	6.57x
First-year cash available for debt service	(\$3.04m)
First-year cash debt service	\$14.13m
Unfunded first-year requirement	\$17.17m

The modeled ESOP structure does not fund itself in year one. The \$17.17m shortfall needs a different price, financing package, cash reserve or operating plan. No ESOP tax advantage is assumed. A full assessment would also require an independent valuation, workforce information, share-release terms and repurchase planning. [S4-S6]

Calculation and reporting conventions

The entry date is September 30, 2026. June 2026 balance-sheet data is carried forward without a quarterly bridge. Five annual periods end September 2031. Annual cash flows are placed at year-end, so a transaction decision would require a more detailed liquidity schedule. Cash interest uses opening debt, and PIK compounds until exit. Follow-on equity is included in both XIRR and MOIC.

This is an operating and acquisition cash-flow model, with an ESOP financing screen. It does not include purchase accounting, ESOP trust accounting, participant allocations, fund-level cash flows, tax structuring or repurchase forecasts. Cash compensation replacing share awards is deducted to avoid treating recurring compensation as costless.

Sources and workbook guide

S1 Core Molding FY 2025 results, March 10, 2026. S2 H1 2026 results, August 4, 2026. S3 2025 annual report, including cash flow statement on PDF page 43.

S4 NCEO employee ownership FAQ. S5 Department of Labor ESOP loan guidance. S6 NCEO repurchase obligation handbook. These sources inform scope and financing context, not a legal or tax conclusion.

Workbook: Summary presents the decision metrics. Change Assumptions D4 to select Downside, Base or Upside. Historical shows sourced figures. Operating and Financing trace cash flow. Returns contains equity cash flows, exit sensitivity and price ceilings. ESOP keeps employee-ownership funding separate. All sources and limitations are preserved in Sources.

Prepared with AI assistance for independent financial modeling practice. Workbook calculations were independently recomputed across all three operating cases and both buyout structures.